

Table 71.4 Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	100% down	100% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L –16%, M –15%, H –14%	L –26%, M –22%, H –19%
Pullback occurrence	56%	56%
Average time to pullback bottoms	–11% in 7 days	–15% in 8 days
Average time to pullback ends	13 days	13 days
Average decline for patterns with pullbacks	–16%	–21%
Average decline for patterns without pullbacks	–14%	–27%
Percentage price resumes trend	30%	32%
Performance with breakout day gap	–17%	–27%
Performance without breakout day gap	–15%	–23%
Average gap size	\$0.72	\$0.71

What does a failure to break out downward look like? [Figure 71.3](#) shows an example except the right side (the drop from B to C) would not drop to the 38.2% breakout price. If price doesn't make it down that far, then by definition it's not a valid V-top.

Yearly position, performance. I sorted the patterns into bins according to where in the yearly price range the breakout occurred and mapped performance.

For both bull and bear markets, the best performance comes from V-tops within a third of the yearly low. The worst performance comes from patterns near the yearly high. This makes sense. You should avoid shorting stocks making new highs, but consider shorting those patterns making new lows. That's a general rule, of course, and there are exceptions. If you're me, you avoid shorting altogether (due to unlimited risk).